

3) What could be meant by meta-governance?

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25.3 GOOD GOVERNANCE

Whether governance, irrespective of context, is good or bad, fair or foul, proper or faulty, smart or dull, ethical or unethical, and healthy or poor, is an important issue. But such notions are normative and this is what differentiates good governance from governance. Philosophically, governance itself must have been evolved to conduct societal affairs in certain desirable directions. It is true that norms may differ somewhat from society to society and within a society from time to time. Fair governance, good governance, sound governance, humane governance, and effective governance are expressions of normative notions of governance in a positive direction and have clear prescriptive connotation. Since norms are expressions of a people's social preferences, howsoever aggregated, good governance is expected to ensure these preferences into political decisions.

Goodness of anything is defined by certain parameters. Whether a man is a good man is determined by certain qualities. People might differ on what those qualities are, yet it is expected there exists a universal set of core values. The same is true of good governance. One scholar, perusing international development literature on good governance, found it so confusing as he discovered that good governance may mean so many different things to different organisations and to different actors within these organisations. For instance, human rights scholars will look from that angle and UN Human Rights agency actually asks: Are the institutions of governance effectively guaranteeing the right to health, adequate housing, sufficient food, quality education, justice and personal security? IMF would prefer to dwell on those institutions and processes which concern foreign exchange and trade. Good governance may thus have endless concerns and definitions that it becomes difficult to find a core.

However, some scholars have chosen to define good governance as 'legitimate, accountable, and effective ways of obtaining and using public power and resources in the pursuit of widely accepted social goals', thus linking good governance with the rule of law, transparency and accountability, and partnerships between state and society, and among citizens. Others referred to it as 'all kinds of institutional structures that promote both good substantive outcomes and public legitimacy'. Thus, some prefer to put emphasis on the process and others on the institutions while both sets of scholars refer to outcomes. Again, whether legitimacy is about the process or inputs or about outputs and outcomes. The literature offers different conceptualisations of good governance, in which the political

content of good governance varies and is controversially discussed. Narrow definitions confine themselves to administrative processes and broad definitions cover all political aspects from formation and constitution of different government wings to decision-making process involving all stakeholders and implementation of those decisions. Showing its disgust with the focus of good governance being on ‘almost exclusively on economic processes and administrative efficiency,’ the UNDP, since 2002-HDR and thereafter, preferred to use the term ‘democratic governance’, perhaps, in order to draw even more attention to the political dimension.

As indicated earlier, the term of good governance originated in international development literature sponsored by several multilateral agencies that are interested in economic development and particularly in poverty eradication. Though general ends are similar, they differ in details of normative ends. Therefore, unsurprisingly, different organisations are found to define governance and good governance somewhat differently. For instance, human rights agencies will look from rights perspective while financial agencies will be more concerned with accountability and corruption. Yet, they all deliberate on how public institutions ought to conduct public affairs and manage public resources.

Taking the cue from UNESCAP’s definition in terms of the process of decision making and the process of implementing decisions, good governance can be better defined as effectiveness and efficiency in the process of decision making and the processes by which decisions are implemented. This is how Centre for Good Governance in India attempts to define it in its report on *Good Governance Index: Assessment of State Governance*. But it is a narrow approach as it does not explicitly state the role of non-state agencies.

Finally, the debate whether means have to be legitimate or the ends have to be legitimate or legitimate ends justify the means, will continue. For Gandhi, means had to be pure and, for Marx or Mao, ends justified the means. So, some definitions will look towards processes whether they are legitimate and follow rule of the law while others will look towards outcomes as to how good they are there. Some definitions (in fact, agencies and scholars) have tendency to mix up the two. Therefore, despite wide usage of the term, its meaning and scope are not always clear. While this flexible position enables one to have a contextual application, the very lack of conceptual clarity is a source of some difficulty. Some scholars found good governance to have become a “one-size-fits-all” buzzword lacking specific meaning and content. Yet, it is better to have many ways to look at rather than none.

Check Your Progress 2

- 1) Which agency started the campaign for good governance and why?

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2) Why are there so many definitions of good governance?

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3) Differentiate between input legitimacy and output legitimacy.

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25.4 VARIANTS AND VERSIONS OF GOOD GOVERNANCE

The previous sections, though quite enlightening, leaves an impression that good governance is almost an indeterminate term even in international development literature. Generally speaking, it is about the quality of conduct of public affairs and management of public resources by public institutions – including authorities, they differ on normative accounts, which are often justified on the grounds that they are thought to be conducive to promote certain ends. There ought to be no surprise on the state of affairs in this context.

There is another set of literature which is less confusing which propose democratic governance, public governance, Humane Governance, SMART Governance. We choose to discuss the latter two.

Humane Governance

Though the term ‘humane governance’ was proposed long back by a political scientist Rajni Kothari in 1987, in the context of paradoxes that existed and exist in the contemporary times. Pointing towards ‘paradoxes of overproduction and scarcity, of information explosion and increasing ignorance, of proliferation, of commodities and shrinkage in nature’s diversity, of affluence and poverty, of liberalisation and human rights violation, of States that are at once too strong and too vulnerable’, he finds ‘ecocide and ethnocide are no longer imaginary scenarios created by doomsday prophets’. Written for some *Committee for a Just World Peace*, he bemoans the marriage between the State and the corporate business, and gave a call for moving from government of humans to humane governance. Subsequently, the phrase was used in the context of good global governance as if to reform the United Nations.

The Mahbub-ul-Haq Human Development Centre in 1999 took human development perspective and viewed Humane Governance as good governance that seeks to secure human development. Holding ownership, decency, and accountability as the bedrock principles of humane governance, it unfolds Humane Governance into political, economic, and civic (instead of social) dimensions. Good political governance seeks riddance of the state from interest groups, lobbyists, and politicians with short-sightedness (and so are the voters interested in low taxation, high private gains, and freebies and civil servants who are interested in building their own empires.) Good political governance would seek to include:

- 1) Decentralisation and deconstruction of power to afford people ample opportunities to participate in decision-making.
- 2) Accountability and transparency of elected representatives and public officials.
- 3) Full access of all citizens to prompt and affordable justice.
- 4) Elimination of all forms of discrimination, and
- 5) Maintenance of peace and social cohesion within and between states.

Humane Governance proponents accept that role of government has increased over time. Despite classical and neoclassical economists' reservations, they point out, ratio of government expenditure to GDP in the OECD countries has increased from 10 per cent in 1913 to 20 per cent in 1937 to 50 per cent by 1995. Even in the developing countries, the central government expenditure has risen from 15 per cent of GDP in 1960 to 30 per cent by 1985. Yet, they point out, fiscal crisis has not been unknown and governments have miserably failed in directly productive activities and thus state's capability has been found inadequate to its responsibility. Therefore, while accepting the inevitability of neo-liberal order, the proponents of human development seek good economic governance in terms of those competitive policies that make market a fairer place by insisting on elimination of discrimination against weaker sections including women. In addition, good economic governance also seeks sufficient budgetary provisions for priority social sectors, progressive taxation and subsidy systems, and equitable access to credit and land. Good political and economic governance would entail strong institutions as institutions finally determine the efficiency of market functioning.

Economists and political scientists have largely been ignoring the civic dimension in which individuals, families, and communities frequently operate. As freedom to form association is a basic human right and very often a constitutional one, business associations, trade unions, religious organisations, and various forms of NGOs (such as voluntary associations, community-based organisations, philanthropic trusts, and research foundations) have a definite and distinctive role in self-help, self-initiative, and self-development. In erstwhile Soviet Union, this was completely missing. Flourishing civic organisations will not only assert for rights but also engender responsibility. Self-policing is the best policing.

It is rightly suggested that each of the three dimensions are complementary to the other two; they are intractably linked; and they together achieve human governance.

SMART Governance

However, in India, acronym SMART was coined to denote Simple, Moral, Accountable, Responsive and Transparent. SMART governance owes its origin to politicians' reliance on e-resources as their use was found to be more dependable in terms of pace but also making rent-seekers less powerful. E-governance is the vehicle through which SMART governance has been sought to be achieved.

The Eleventh Report of Second Administrative Reforms Commission is named as "Promoting E-Governance – The SMART Way Forward". Defining e-Governance as the application of Information and Communications Technology to government functioning in order to create 'Simple, Moral, Accountable, Responsive and Transparent' (SMART) governance, the Report recommends use of ICT for wider participation of citizens in public affairs in decisional processes. E-Governance and SMART governance are a kind of twins. E-Governance can however be useful only when processes, procedures, and structures of Government are re-engineered and made compatible with ICT requirements in terms of software and hardware. There is no denying that ICT can to an extent accommodate specific structures as no two governments would be a replica of each other. Thus, SMART Governance is more than using technology.

E-governance is surely different than E-government which nevertheless is an essential part of the former. If G and C were to stand for government and citizens respectively, and '2' for 'to', then there could be four kinds of communications: G2G, G2C, C2G, and C2C. While G2C, besides G2G, is very much part of e-Government as government is essentially to deliver certain services to citizens, it is C2G communication whereby citizens become participants which is what ought to be e-Governance. C is inclusive of all other stakeholders, like business, labour, civil societies. G2C is very similar to business-customer relationship B2C in e-Commerce where B and C respectively denote business and customer and C2G is similar to C2B. E-governance seeks to move from passive information and service providing to active citizen involvement.

No doubt, E-governance is a highly complex process requiring provision of hardware, software, and networking but it is the re-engineering of procedures for decision-making which holds the water. And as ICT is dynamic, e-governance too will have to be a dynamic. One can recall that many of the cards that are in our possession are smart and the move is to have a smart citizen card wherein most of the information is tagged in. In many places, it is bio-metric information in lodged in.

Let us note how these attributes of good governance are spelt:

- **Simple:** Meaning simplification of rules, regulations and processes of government through the use of ICTs and thereby providing for a user-

friendly government. For example, government may use Single Window one-stop service to facilitate delivery of services to a common citizen. E-governance comes handy.

- **Moral:** Connoting emergence of an entirely new system of ethical values in the political and administrative machinery. Technology interventions can improve the efficiency of anti-corruption agencies, police, judiciary, etc. if they wish. Electoral reforms, empowerment of women, enhancing literacy, etc. could also be carried out in a better way through ICT intervention. Use of EVM in elections in India helped improve the fairness of elections.
- **Accountable:** Facilitating design, development and implementation of effective Management Information System and performance measurement mechanisms and thereby ensuring accountability of public service. Through ICT intervention, accountability can be ensured in more efficient ways.
- **Responsive:** Streamlining the processes to speed up service delivery and make system more responsive. For instance, Citizen Charter as a set of assurances given by the government agencies, is an instrument on the quality of service delivery. Through ICT intervention, responsiveness could be quickened.
- **Transparent:** Bringing information hitherto confined in the government files, into public domain and making processes and functions transparent. Transparency brings some of the essential virtues into public life such as equity, level playing field and the rule of law. They reduce the scope of discretion and corruption. Right to Information (RTI), the right to know why certain decisions were taken, is an instrument of transparency. E-governance would be helpful in quick dissemination of information.

Commentators on SMART Governance sometimes relate these features with the work of bureaucracy which is greatly responsible for the formulation and implementation of various programmes and policies of the government. Though not included in the acronym, SMART approach is expected to enable people's participation, beyond elections, in decision-making. It is further expected that SMART approach to governance makes government efficient, bereft of hierarchical barriers and red tap.

Automation of administrative processes, the first step of e-governance, will minimise human intervention leading to bias less service delivery and availability of online information for each department will enable file movement faster and user friendly by reducing paper-work (and thus saving physical space and exploitation of environment. With E-Governance, public action comes under media and public glare, and thereby inducing norms and values of accountability, openness, integrity, fairness, equity, responsibility and justice. They expect reduction in transaction costs, empowerment of common citizens. SMART Governance and its sister e-Governance are thus harbinger of the new century ethos.

However, it appears that SMART Governance largely concentrates on the working of public sector – mainly bureaucracy. It is indeed so. That is why it was favoured by the Second Administrative Reforms Commission whose main mandate was reforming administration and was promoted and propagated by the Department of Administrative Reforms (and Public Grievances).

It may be noted that both humane governance and SMART governance belong to two different genres. While the former is more about judging the quality of governance process in terms of humane outcomes, the latter is judging the quality of administrative processes. The schism is substantially akin to that between the end and the means. SMART Humane Governance is using e-technology but will be judged by the quality in terms of humane governance outcomes.

Check Your Progress 3

- 1) What is humane governance? State its components.

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- 2) What are the features of SMART Governance and how does it differ from E-governance?

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25.5 DIMENSIONS OF GOOD GOVERNANCE

The World Bank, as proposed in its Worldwide Governance Indicators Project, defines good governance in terms of the traditions and institutions by which authority in a country is exercised. As noted in Section 25.3, there are three dimensions, viz.:

- 1) The process by which governments are selected, monitored and replaced;
- 2) The capacity of the government to effectively formulate and implement sound policies; and
- 3) The respect of citizens and the state for the institutions that govern economic and social interactions among them.

While this description is fraught with a number of issues. The main stem does not say anything which qualifies governance as good though they include constitutional arrangements in (1), government personnel in (2), and nature of people and their State in (3). The qualification of 'sound' before policies would mean different things for different groups of people and agencies. While economy-centric people would look for efficiency, society-oriented ones would search for equity. The inclusion of 'sound policies' in the second dimension raises the question whether international experts (mostly economists) can really be expected to know what constitutes 'sound policies'? For example, should pensions or health care or education be privately or publicly funded or should they be imparted physical provisions or through insurance? This broad definition can further be criticised for mixing together policy content ('sound policies') and procedures ('rule of law') as well as citizens' evaluations ('respect'). The mixture refers to both institutions that provide access to political power and those that exercise and implement laws and policies. To what extent and how should financial institutions be regulated? Obviously, some political institutions or aspects of politics are more important than others in determining the quality of governance. If we examine other definitions, they are likely to meet the same fate. The result is Grindle wanted Good Governance to 'rest in peace' (in a paper in 2017) as he found proliferation of muddled thinking on governance. So, we only note dimensions suggested in some of the contributions by international agencies.

While making good governance index, the WGI in 1996 clearly unfolds six dimensions by splitting three aspects mentioned above. They are:

- 1) Voice and accountability;
- 2) Political stability and absence of violence;
- 3) Government effectiveness;
- 4) Regulatory quality;
- 5) Rule of law; and
- 6) Control of corruption.

In contrast, the UNDP has identified five areas of intervention along which governance could be improved:

- 1) Legislature, judiciary, and electoral bodies;
- 2) Public and private sector management;
- 3) Decentralisation and local governance;
- 4) Civil society organisation, and
- 5) Governance in special circumstances.

There is little common between them. But, in another policy document in which UNDP admits importance of good governance suggests nine criteria, viz.:

- 1) Participation

- 2) Rule of law
- 3) Transparency
- 4) Responsiveness
- 5) Consensus-orientation
- 6) Equity
- 7) Effectiveness and equity
- 8) Accountability, and
- 9) Strategic vision

The OECD countries seem to include another set of ten criteria:

- 1) Effectiveness
- 2) Efficiency
- 3) Transparency
- 4) Accountability
- 5) Predictability
- 6) Sound financial management
- 7) Fighting corruption
- 8) Respect for human rights
- 9) Democracy
- 10) The rule of law.

By 2013, it stopped using the phrase good governance in its Human Development Report and suggested governance principles for democratic governance through following three double criteria:

- 1) Participation and Inclusion,
- 2) Non-discrimination and Equality, and
- 3) Rule of Law and Accountability.

This tilts more towards political side than administrative. There are quite a few things common.

One can easily make a distinction between the administrative core of good governance – which is a legitimate part of government and a closely associated political area – which involves people in governance. Principles such as accountability, efficiency, transparency or the rule of law, belong to the first category, that is, administration while respect for human rights, participation and democratisation belong to political area.

Various other international agencies including those of UN System and outside have also put their neck into the matter. They also try figure out some common dimensions, without criticising others, but finally end up differing. It would be instructive to prepare a comparative chart of representative sets of dimensions and ingredients listed by some of these agencies in some or the

other place. We choose here one or the other affiliate of the UN System or the World Bank's regional counterparts, which have not been discussed in the preceding paragraphs.

UNESCAP	UNESCAP/ UNDP	UNCHR	IDA	ADB	AfDB
Participation	Participation	Participation	Participation	Participation	Participation
Accountability	Accountability	Accountability	Accountability	Accountability	Accountability
Transparency		Transparency	Transparency	Transparency	Transparency
Efficiency	Effectiveness				
Fairness	Equity				
	Rule of Law		Rule of Law		
		Responsiveness			
Decency					
		Responsibility			
				Predictability	
					Combating Corruption
					Legal & Judicial Reforms

One can notice agency's concerns reflected as well as regional variations. Maximum common dimensions come out to be only two: Participation and Accountability. It means, in the agencies' estimate, people seek their participation in decision making, which is very much expected in a democratic dispensation and they wish to hold authorities to be accountable for their actions.

Moreover, beyond enumeration, the agency narrations may add new dimensions. For example, the UNESCAP further writes, "it (good governance) assures that corruption is minimised, that the views of the minorities are taken into account, and that the views of the most vulnerable in society are heard in decision-making. It is also responsive to the current and future needs of society"

Check Your Progress 4

- 1) List three key attributes of good governance.

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